

Financial management model exam questions

1. Which one of the following is the basic objective of financial management?
 - A. Maximization of profit
 - B. Maximization of shareholder wealth
 - C. Ensuring financial discipline in the firm
 - D. Stakeholders maximization
2. Investment is best defined as:
 - A. Employment of funds on assets to earn returns.
 - B. A person's commitment to buy a flat or house.
 - C. Employment of funds on goods or services that are used in production process.
 - D. Net addition that are made to the nation's capital stocks.
3. A decision for replacing machines with modern machinery of high production capacity is a:
 - A. Investment decision
 - C. Financing decision
 - B. Dividend decision
 - D. Liquidity management decision
4. In the long run financial analysis of financial statements the stress is on the firms:
 - A. Liquidity position
 - C. Solvency condition
 - B. Profitability position
 - D. Growth situation
5. **Abebe** joins his father's water bottling company, after completing his MBA. In order to capture a major share of the market he decided to sell the product in small attractive packages by using the latest packaging technology. His father suggested that they hire financial consultant to estimate the amount of funds that will be required for the purpose and timings when it would be required. The concept being discussed by **Abebe's** father is best suited for:
 - A. Financial planning
 - C. Financing decision
 - B. Capital structure decision
 - D. financial analysis
6. Which of the following statement is **incorrect**?
 - A. An ordinary annuity has payments at the end of each year.
 - B. An annuity due has payments at the beginning of the year.
 - C. Perpetuity is considered as perpetual annuity.
 - D. An ordinary annuity has a greater PV than an annuity due if they both have the same periodic payment, discount rate and time period.
7. Which of the following has the largest future value if 1000 birr is invested today?
 - A. Five years with a simple annual interest rate of 10 percent.
 - B. 10 years with a simple annual interest rate of 8 percent.
 - C. Eight years with a compound annual interest rate of 8 percent.
 - D. Eight years with a compound annual interest rate of 7 percent.
8. Which of the following statement concerning the payback period is **incorrect**?
 - A. The payback period is simple to calculate and understand.

- B. It measures the time that the project will take to generate enough cash flows to cover initial investment
 - C. It ignores cash flows after the payback period has been reached.
 - D. It takes account the time value of money.
9. An annuity stream of cash flow payments is a set of:
- A. Level cash flow occurring each time period for a fixed length of time.
 - B. Level cash flows occurring each time period forever.
 - C. Increasing cash flows occurring each time period for a fixed length of time.
 - D. Increasing cash flows occurring each time period forever.
10. Which one of the following statement is **not** true?
- A. A birr received today is worth less than a birr received tomorrow.
 - B. A birr received tomorrow is worth less than a birr received today.
 - C. A birr received today is worth more than a birr received tomorrow.
 - D. The time value of money is refers to what the value of the stream of future cash flow is today.
11. Which of the following is an example of an opportunity cost?
- A. Using a piece of land that you owned to build a house.
 - B. Spending time caring for an elder in your family instead of working.
 - C. Quitting your job to go to university.
 - D. All of the above
12. As interest rates fall, present values:
- A. Decrease
 - B. Increase
 - C. Cannot be determined
 - D. stay the same
13. Which of the following statement best explain the concept of time value of money?
- A. Investments will always be worth more tomorrow than they are today.
 - B. It is always wiser to save a birr for tomorrow than to spend it today.
 - C. A birr in hand today is worth more than a birr promised at some time in the future.
 - D. All of the above
14. The cost of equity share capital is greater than the cost of debt because:
- A. Equity shares carry a higher risk than debts.
 - B. The face value of equity share is lower than the face value of debentures in most cases.
 - C. Equity shares do not provide a fixed dividend rate
 - D. Equity share are not easily saleable.
15. Suppose that a firm has 20% debts and 80%equity in its capital structure. The cost of debt and cost of equity are assumed to be 10% and 15% respectively, what is the overall cost of capital?
- A. 11%
 - B. 12%
 - C. 13%
 - D. 14%

16. An Indenture is:
- A. Another name for a bonds coupon.
 - B. The written record of all the holder of a bond issue.
 - C. A bond that is past its maturity date but has yet to be repaid.
 - D. The legal agreement between the bond issuer and bondholders.
17. A bond that has only one payment, which occurs at maturity, defines which one of the following?
- A. Zero coupon bond
 - B. Floating rate bond
 - C. Junk bond
 - D. Callable bond
18. The stated interest payment, in birrs, made on a bond each period is called the bond:
- A. Coupon
 - B. Maturity
 - C. Face value
 - D. Coupon rate
19. A bond with the face value of 1000 birr that sells for more than 1000 birr in the market is called a:
- A. Par bond
 - B. Discount bond
 - C. Zero coupon bond
 - D. Premium bond
20. The net present value(NPV) rule can be best stated as:
- A. An investment should be accepted if, and only if, the NPV is exactly equal to zero
 - B. An investment should be rejected if the NPV is positive and accepted if it is negative.
 - C. An investment should be accepted if the NPV is positive and rejected if it is negative.
 - D. An investment with greater cash inflows than cash outflows regardless of when the cash flow occurs will always have a positive NPV and therefore should always be accepted.
21. A situation where taking one investment prevents the taking of another is called:
- A. Independent project
 - B. Contingent project
 - C. Mutually exclusive project
 - D. all of the above
22. You own some manufacturing equipment that must be replaced. Two different suppliers present a purchase and installation plan for your consideration. This is an example of a business decision involving_____ projects.
- A. Mutually exclusive
 - B. Independent
 - C. this is not a business decision
 - D. contingent
23. The use of which of the following would lead to correct decision when comparing mutually exclusive investment?
- A. Profitability index
 - B. Average accounting return
 - C. Net present value
 - D. A and B of the above

24. When current ratio is 2:1 and if there is an equal increase in current asset and current liabilities, would result in:

- A. No change in current ratio
- B. Decrease in current ratio
- C. Increase in current ratio
- D. Current ratio will double

25. Profitability ratio measures:

- A. The speed at which the firm is turning over its assets.
- B. The ability of the firm to earn an adequate return on sales, total assets and invested capital.
- C. The firm ability to payoff short term obligations as they are due.
- D. The debt position of the firm in light of its assets and earning power.